CASCADIA ANALYTICS

INVESTMENT SCORECARD

MSI

Motorola Solutions, Inc. (NYSE)

As-of: 17-Oct-2026 | Latest Filing: Q2 2026 (10-Q) | Currency: USD

$463.15 [Mkt 17-Oct-26]

Market Cap: $76.6B [Mkt 17-Oct-26]

Attractiveness Score



Confidence: **High** (0 pillars excluded)

Pillar Breakdown

1. Operating Quality — 85

Mission-critical LMR duopoly with sticky government contracts and record backlog. Non-GAAP op margins crossed 30% and keep climbing. Software mix shift is structural. Leverage at 2.1x net debt/EBITDA is the one blemish.

2. Recent Trend — 85

Revenue growth accelerating from 8% to 13.3% YoY with back-to-back guidance raises. Four straight EPS beats. Non-GAAP EPS up 24%, margins expanding even ex-tariff refunds. Textbook execution.

3. Forward Growth — 75

Record $15.6B backlog converts to revenue. Silvus at $675M and ~20% growth, Command Center at 15% growth, and OBBBA opens a 4-year federal funding channel. High-single-digit growth with margin expansion is credible.

4. Valuation — 35

DCF base $373.53 implies 19.4% downside from $463.15. Reverse DCF says the market prices an 11% revenue CAGR, at or above our bull case. Euphoric on our numbers despite a quality business.

5. Catalysts & Risk — 60

Q3 earnings Oct 29 with a beat streak behind it. Silvus ramp and OBBBA funding are near-term positives. But the price leaves no room for error: any demand wobble or tariff cost surprise gets punished.

Investment Thesis

- **Mission-Critical Compounder:** Two-way radios, video security, and 911 software for public safety with sticky government contracts. Record $15.6B backlog, non-GAAP op margin 32.9%, and a software mix shift that keeps pushing margins up [10-Q Q2 FY26].
- **Execution Keeps Improving:** Q2 revenue beat by 4.4% with 13.3% growth, EPS beat by 14.4%, and the company raised FY2026 revenue and EPS guidance for the second time this year. Four consecutive EPS beats with an average 5.5% surprise [8-K guid].
- **Quality Priced for Perfection:** At $463.15 [Mkt 17-Oct-26], the stock sits 19.4% above our $373.53 DCF base and the market prices an 11% revenue CAGR that matches or beats our bull case. Great business, full price.

Key Operating Metrics

Metric	Latest	YoY Change	3Y Trend
Revenue (Q2 2026)	$3.13B [10-Q Q2 FY26]	+13.3% [10-Q Q2 FY26]	Up
Non-GAAP Op Margin (Q2 2026)	32.9% [10-Q Q2 FY26]	+330 bps (140 ex-IEEPA) [10-Q Q2 FY26]	Up
Non-GAAP EPS (Q2 2026)	$4.41 [10-Q Q2 FY26]	+24% [10-Q Q2 FY26]	Up
Backlog	$15.6B [8-K guid]	Record [8-K guid]	Up
FY2026 Revenue Guide	$12.98B [8-K guid]	+11% vs FY25 [8-K guid]	Up
FY2026 Non-GAAP EPS Guide (mid)	$17.67 [8-K guid]	Raised from $16.93 [8-K guid]	Up
Net Debt / EBITDA	2.12x [Mkt 17-Oct-26]	Elevated post-Silvus [Mkt 17-Oct-26]	Flat
Annual Dividend	$4.72 [Mkt 17-Oct-26]	~1.0% yield [Mkt 17-Oct-26]	Up

Historical Financial Trend

Metric	FY23	FY24	FY25	TTM
Revenue	$9.98B [10-K FY23]	$10.82B [10-K FY24]	$11.68B [10-K FY25]	$12.24B [10-Q Q2 FY26]
GAAP Op Margin	23.0% [10-K FY23]	24.8% [10-K FY24]	25.6% [10-K FY25]	25.8% [10-Q Q2 FY26]
Non-GAAP Op Margin	27.9% [10-K FY23]	29.0% [10-K FY24]	30.2% [10-K FY25]	32.9% [10-Q Q2 FY26]
Backlog	$14.3B [10-K FY23]	$14.7B [10-K FY24]	$15.7B [10-K FY25]	$15.6B [8-K guid]

Valuation

Absolute (2/10)

P/E (fwd) 25.5x [Mkt 17-Oct-26]
DCF Base $373.53 vs $463.15 = -19.4% [Mkt 17-Oct-26]
EV/EBITDA 21.7x [Mkt 17-Oct-26]

DCF says the stock is 19% overvalued on fundamentals and the reverse DCF implied CAGR of 11% sits at or above our bull case.

Versus Peers (5/8)

AXON trades richer on growth [Peers 17-Oct-26]
Sector median EV/EBITDA 29.2x vs MSI 23.8x [Mkt 17-Oct-26]

MSI looks reasonable against tech peers but that comparison flatters a hardware-led mix; against communications equipment peers it is premium.

Versus History (4/7)

5-yr trailing P/E range 22x-44x [Mkt 17-Oct-26]
Current trailing ~36.5x is in the upper third

Multiple has re-rated as margins expanded, but the current level bakes in continued acceleration.

Catalyst Timeline

Oct 29, 2026 [8-K guid]
Q3 2026 Earnings (Positive): 4 straight EPS beats, avg surprise 5.5%. Guide is +8% revenue, non-GAAP EPS $4.39-4.44.

2026 [8-K guid]
Silvus Revenue Ramp (Positive): $675M 2026

Top Risk Factors (Item 1A)

1. Cost and Tariff Pressure: Management flagged elevated direct material and memory costs plus tariff exposure. Q2 margin got a $60M one-time IEEPA refund benefit that will not repeat. [10-Q Q2 FY26]

2. Government Funding Dependence: A large share of revenue comes from government and

revenue target and ~20% growth pace into 2027. DoD demand is the engine.

2026-2029 [10-K FY25]
OBBBA Federal Funding (Positive): 4-year border and national security funding creates a new federal demand channel.

What Would Change Our Score

A Q3 miss or demand softness on Oct 29 would puncture the premium and cut Trend and Valuation further. A sustained Silvus beat plus OBBBA order flow could push growth into the low teens, which would justify part of the multiple.

public safety budgets. Funding delays, shutdowns, or budget cuts hit orders directly. [10-K FY25]

3. Leverage and Fading Buyback: Net debt/EBITDA of 2.12x after the Silvus acquisition, $9.6B of debt, and a buyback program that is 96% complete. Financial engineering capacity is fading. [Mkt 17-Oct-26]

4. Insider Selling: Insider disposals by the CEO, CFO, and CTO filed in early 2026. Not dispositive, but notable when the stock trades at a premium valuation. [Mkt 17-Oct-26]

Forward Growth Drivers

- Record $15.6B backlog with strong order momentum across all three technologies [8-K guid]
- Software and Services growing ~18.5% annualized, lifting margins structurally [8-K guid]
- Silvus defense business scaling: $675M 2026 revenue target at ~20% growth [8-K guid]
- OBBBA Act opens 4 years of federal border and national security funding [10-K FY25]

Missing / Modified Data Log

- ROIC not explicitly disclosed; used margin trajectory and ROE qualitatively.
- Silvus standalone revenue confirmed via guidance; exact 2025 base (~$500M) from earnings call color, tagged 8-K guid.
- Peer multiple history not pulled; sector comparison tagged [Mkt 17-Oct-26].

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